ILLUSTRATIVE EXAMPLE: FICTIONAL COMPANY, NOT A CLIENT

AlphaZet Services

Demo Precision Components Private Limited

Credit Monitoring Arrangement (CMA) data: proposal for a Rs 100 lakh cash credit limit

Fictional company: a Gujarat MSME making machined components for local engineering customers.

Facility sought: Cash credit (CC) limit of Rs 100 lakh for FY27.

Years covered: two audited, one estimate, two projected. All amounts in Rs lakh.

This document is a sample created to show the layout and depth of our work. The company, people and every number in it are invented. It is not based on any client and must not be used for any decision.

1. Purpose and summary

This sample shows how we prepare CMA data for a bank. A bank reads it in a fixed format so it can compare your business with its lending norms. The report holds the particulars of the facility, the operating statement, the balance sheet analysis, the ratios, the maximum permissible bank finance and the funds flow.

Item	Detail
Applicant	Demo Precision Components Private Limited (fictional)
Facility requested	Cash credit limit Rs 100 lakh for FY27
Net sales FY26 (estimate)	880.0
Net sales FY27 (projected)	1,050.0
Current ratio FY27	1.46
Average DSCR FY27 to FY28	3.06

What a bank checks first. Whether the projected sales are believable against past sales, whether margins are stable, how much of the funding is the owners' own money, and whether the business can repay the term loan from its own profits.

2. Form I: particulars of existing and proposed limits

Facility	Existing	Proposed	Security (illustrative)
Cash credit	Rs 85 lakh	Rs 100 lakh	Hypothecation of stock and receivables
Term loan	Rs 100 lakh sanctioned FY23	No change	Hypothecation of machinery
Total	Rs 185 lakh	Rs 200 lakh	

The enhancement of Rs 15 lakh is needed because projected sales rise by about 19% in FY27, which needs more inventory and receivables. Section 5 tests the requested limit against the MPBF.

3. Form II: operating statement

Rs lakh	FY24 (A)	FY25 (A)	FY26 (E)	FY27 (P)	FY28 (P)
Net sales	620.0	740.0	880.0	1,050.0	1,230.0
Growth %	-	19.4%	18.9%	19.3%	17.1%
Cost of goods sold	545.9	646.6	758.4	903.5	1,049.8
Gross profit	74.1	93.4	121.6	146.5	180.2
Selling and admin expenses	43.4	51.8	61.6	73.5	86.1
Profit before interest and tax	30.7	41.6	60.0	73.0	94.1
Interest	11.0	12.0	13.0	14.0	15.0
Profit before tax	19.7	29.6	47.0	59.0	79.1
Tax	5.0	7.5	11.8	14.9	19.9
Profit after tax	**14.7**	**22.1**	**35.2**	**44.1**	**59.2**

Gross margin moves from 12.0% to 14.7% as raw-material purchases scale. A bank will ask for the reason behind any change in margin, so the assumptions behind each line are written alongside the statement in a live report.

4. Form III: balance sheet analysis

Rs lakh	FY24 (A)	FY25 (A)	FY26 (E)	FY27 (P)	FY28 (P)
Bank borrowing (CC)	56.6	77.4	88.1	96.4	93.5
Other current liabilities	60.9	71.6	83.6	102.2	117.5
Term loan outstanding	100.0	82.0	64.0	46.0	28.0
Tangible net worth	134.7	156.9	192.1	236.2	295.4
Total liabilities	352.2	387.9	427.7	480.8	534.4
Inventory	72.7	83.3	95.1	107.6	125.1
Receivables	98.5	115.6	132.6	158.2	185.3
Cash and other current assets	16.0	19.0	22.0	25.0	28.0
Total current assets	187.2	217.9	249.7	290.8	338.4
Net fixed assets	165.0	170.0	178.0	190.0	196.0
Total assets	**352.2**	**387.9**	**427.7**	**480.8**	**534.4**

Bank borrowing is the balancing figure in the projections, as it is in most CMA data. Holding periods used: inventory about 55 to 62 days, receivables 55 to 58 days, creditors 40 to 42 days. These should match your real operating cycle.

5. Forms IV and V: current assets, ratios and MPBF

Ratio	FY24 (A)	FY25 (A)	FY26 (E)	FY27 (P)	FY28 (P)
Current ratio	1.59	1.46	1.45	1.46	1.60
TOL / TNW	1.61	1.47	1.23	1.04	0.81
Interest cover (PBIT / interest)	2.79	3.47	4.62	5.21	6.28
DSCR	1.65	1.97	2.46	2.82	3.31

Maximum permissible bank finance, second method of lending (FY27).

Step	Rs lakh
Total current assets	290.8
Less 25% margin on current assets	72.7
Working capital gap at 75% of current assets	218.1
Less other current liabilities	102.2
MPBF	115.9
Projected bank borrowing (proposed limit Rs 100 lakh)	96.4

The projected bank borrowing of Rs 96.4 lakh is within the MPBF of Rs 115.9 lakh, so the proposed limit of Rs 100 lakh is supported. Banks may use other norms, and their own policy decides.

6. Form VI: funds flow

Rs lakh	FY27 (P)	FY28 (P)
Sources: profit after tax + depreciation	76.1	94.2
Sources: increase in bank borrowing	8.4	-3.0
Sources: increase in other current liabilities	18.6	15.4
Uses: capital expenditure (net fixed asset change + depreciation)	44.0	41.0
Uses: repayment of term loan	18.0	18.0
Uses: increase in current assets	41.1	47.6

A funds flow shows where money comes from and where it goes. Banks read it to see whether long-term uses are funded from long-term sources, and whether the business relies too much on short-term borrowing.

7. Why banks send CMA reports back

Common reasons are projections that do not follow from past figures, a balance sheet that does not balance, inconsistent holding periods between years, missing notes on assumptions, and ratios that break the bank's own norms without an explanation. We review for each of these before the report leaves us.

Want CMA data prepared for your loan? Visit alphazetservices.com or call +91 90996 29227.